

Compound Interest:

Money Growing Over Time

A Financial Literacy Lesson for Grade 3

Subject: Mathematics / Financial Literacy

Grade: 3

Duration: 45 – 60 minutes

Currency: Indian Rupees (₹)

Learning Objectives

- Understand what **saving** means and why it matters.
- Explain what **interest** is and how it works as a reward for saving.
- Describe **compound interest** in simple terms — earning interest on interest.
- Distinguish between **simple interest** and **compound interest**.
- Trace money growth through a worked example (₹100 → ₹110 → ₹121).
- Recognise the benefit of **starting to save early**.

Materials Needed

- ◆ Presentation slides (provided)
- ◆ Printed worksheet (pages 3 – 5 of this PDF)
- ◆ Pencils / crayons
- ◆ Optional: play-money coins or ₹ cutouts for hands-on activity
- ◆ Optional: small piggy-bank prop

Lesson Plan

Teacher's Step-by-Step Guide

WARM-UP (5 min)

Hook question: Ask: "What would you do if someone gave you extra money?" Let 2–3 students share ideas (toys, books, saving). Display Slide 2 to spark imagination.

Prior knowledge: Ask: "Has anyone heard the word *interest* before?" Accept all answers without judging.

CONCEPT INTRODUCTION (15 min)

What is Saving? (Slide 3): **Saving** = keeping some money safe to use later. Give example: piggy bank, parents keeping money aside for school fees.

What is Interest? (Slide 4): **Interest** = money the bank gives you as a thank-you for saving. Use the analogy: "The bank borrows your money to help others and pays you a little extra for lending it."

Compound Interest (Slides 5 – 8): Key insight: With compound interest, you earn interest *on your interest too*. Walk through the 4-step flow: Save ■100 → Earn ■10 (■110) → Earn interest on ■110 (■121) → Money keeps growing!

STORY TIME (5 min)

Meet Priya! (Slide 9): Tell the class the story of Priya who saves ■100. Year 1: ■100. Year 2: ■110. Year 3: ■121. Ask: "Why did Priya have more money each year?"

COMPARISON & BENEFITS (10 min)

Simple vs Compound (Slide 10): Draw a quick table on the board. Simple interest: ■10 every year (same). Compound interest: ■10 first year, ■11 second year (growing!).

Benefits (Slide 11): 1. Money grows faster. 2. Save less, get more. 3. Start early for bigger rewards.

When to start? (Slide 12): Age 6 → start small. Age 10 → watch it grow. Age 18 → LOT saved!

THINK & CHALLENGE (5 min)

Puzzle (Slide 13): "If you save ■100 today, what happens after 2 years with compound interest?" Give think-time. Answer: ■121. Celebrate correct answers!

RECAP & CLOSE (5 min)

What did we learn? (Slides 14 – 15): 3 key memories: (1) Saving is important. (2) Interest helps money grow. (3) Start saving early!

Action step (Slide 15): Challenge students to put at least one coin in a piggy bank this week and tell one friend what they learned.

Key Concepts

Quick Reference for Students & Teachers

Vocabulary Bank

Word	Meaning	Example
Saving	Keeping money safe to use later	Putting coins in a piggy bank every day
Interest	Extra money a bank gives you for saving	Save ₹100, bank gives ₹10 extra
Simple Interest	Interest earned only on the original amount	₹10 every year on ₹100
Compound Interest	Interest earned on the original amount PLUS all previous interest	Year 1: ₹10; Year 2: ₹11 (on ₹110)
Principal	The original amount of money saved	₹100 saved at the start
Rate	The percentage the bank pays as interest	10% means ₹10 per ₹100

Worked Example: Priya's Savings at 10% per Year

Year	Amount at Start of Year	Interest Earned (10%)	Amount at End of Year
1	₹100	₹10	₹110
2	₹110	₹11	₹121
3	₹121	₹12.10	₹133.10
4	₹133.10	₹13.31	₹146.41
5	₹146.41	₹14.64	₹161.05

Notice how the interest gets a little bigger each year! That is the magic of compound interest at work.

Student Worksheet

Name: _____ Date: _____

PART A: Fill in the Blanks

1. Saving means keeping money _____ to use _____.
2. Interest is extra money a _____ gives you for saving.
3. With compound interest, you earn interest on your _____.
4. Priya saves ₹100. After Year 1 she has ₹_____.
5. After Year 2, Priya has ₹_____ (hint: 10% on ₹110).
6. The _____ you save, the more your money grows.

PART B: Circle the Correct Answer

1. What is saving?

- | | |
|----------------------------|---------------------------------|
| A) Spending all your money | B) Keeping money safe for later |
| C) Giving money to friends | D) Losing money |

2. What does the bank give you for saving?

- | | |
|-------------|----------|
| A) Toys | B) Books |
| C) Interest | D) Food |

3. With compound interest, interest is earned on:

- | | |
|-----------------------------|--|
| A) Only the original amount | B) The original amount + interest already earned |
| C) Only the interest | D) Nothing |

4. Priya saves ₹100 at 10% interest. How much does she have after Year 1?

- | | |
|---------|---------|
| A) ₹100 | B) ₹105 |
| C) ₹110 | D) ₹120 |

5. When is the best time to start saving?

A) When you are very old

B) Never

C) Only when you have a lot of money

D) As early as possible

Activities & Extension

Hands-On & Creative Tasks

PART C: Short Answer

1. In your own words, explain what compound interest means.

2. Why is it better to save early rather than late?

3. What is one thing you can do at home to practise saving?

PART D: Maths Challenge (Extra Credit)

Arjun saves **₹200** in a bank that gives **10% compound interest** per year. Complete the table below to find out how much Arjun will have after 3 years.

Year	Amount at Start	Interest (10%)	Amount at End
1	₹200	₹ _____	₹ _____
2	₹ _____	₹ _____	₹ _____
3	₹ _____	₹ _____	₹ _____

PART E: Draw & Tell!

Draw a picture of **your piggy bank** in 5 years if you start saving **₹10** every week. Write one sentence below your picture explaining what happened to your money.

My sentence:

Answer Key

For Teacher Use Only

PART A – Fill in the Blanks

1. safe / to use later
2. bank
3. interest
4. ■110
5. ■121
6. longer / more

PART B – Multiple Choice

1. **B**
2. **C**
3. **B**
4. **C**
5. **D**

PART D – Maths Challenge

Year	Amount at Start	Interest (10%)	Amount at End
1	■200	■20	■220
2	■220	■22	■242
3	■242	■24.20	■266.20

Assessment Rubric

Component	Marks	Notes
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Part A – Fill in the Blanks	6 marks (1 per blank)	Accept reasonable synonyms
Part B – Multiple Choice	5 marks (1 per question)	One answer only
Part C – Short Answer	6 marks (2 per question)	Award marks for key ideas; see sample answers below
Part D – Maths Challenge	6 marks (2 per year)	Award 1 mark each for correct interest and correct total
Part E – Draw & Tell	2 marks	1 for drawing, 1 for sentence showing understanding
TOTAL	25 marks	

Sample Answers – Part C

Q1: Compound interest means you earn extra money (interest) on your savings, and then you also earn interest on that interest. So your money keeps growing faster and faster.

Q2: Saving early gives your money more time to grow. The longer you save with compound interest, the more you earn because each year your interest grows bigger too.

Q3: Accept any practical ideas: putting pocket money in a piggy bank, saving birthday money, not spending on things I don't need, etc.